

SYSKO CORPORATION VALUATION

April 2026

Key Statistics

Current Market Price:	\$73.24
Market Capitalization:	\$34,080.70 million
Shares Outstanding:	478.18 million
Revenue (FY2025):	\$76,324.68 million
Industry:	Foodservice Distribution
Ticker / Exchange:	SYV / NYSE

I. Introduction

I.I Business Description

Sysco was founded in 1967 and is headquartered in Houston, Texas. Its operations are based on the mission of "Connecting the World to Share Food and Care for One Another," by distributing beverages, food, and kitchen-related supplies to a wide range of industries. Sysco dominates the food distribution industry and accounts for 17% of the market share. The company has a market capitalization of \$34,080.70 million and revenue of \$76,324.68 million as of 2025. Its customers include small diners, large restaurant chains, healthcare facilities, education and government institutions, hotels, and caterers. While the company serves a broad range of industries, the restaurant sector accounts for over 60% of its revenue. Sysco employs approximately 75,000 individuals and serves 730,000 customers. Its network spans 90 countries with 337 distribution centers across North America and Europe.

I.II Management Description and Corporate Governance

Sysco has approximately 75,000 employees and a management executive team of approximately 6 to 10 key leaders, in addition to a board of directors with 13 members. The executive team is highly experienced in the industry and focuses on operational efficiency and margin expansion. The core strategies are to control costs and optimize the supply chain, as this is a low-margin business. Simultaneously, a key focus of the management team is to grow the business model and generate stronger revenue through acquisitions. Because the industry is high volume and low margin, a key goal of Sysco's management, and one of their primary strengths, is their scale and continued expansion of their customer base.

Sysco is governed by a mostly independent board of directors that oversees management and protects the interests of shareholders. The key committees are audit, which reviews the financials; compensation, which determines executive pay; and governance, which controls the corporate structure. Notably, the CEO of Sysco also serves as Chair of the Board, which can compromise the separation of power. The CEO and Chair of the Board, Kevin Hourican, studied economics and supply chain management at Penn State. He previously served as the President of CVS, an \$85 billion retail business. Since becoming CEO in 2020, he has focused on a major transformation strategy to improve customer experience, improve supply chain efficiency, and expand into high-growth segments.

I.III Industry Overview

Sysco operates in the foodservice distribution industry, which supplies food, beverages, and kitchen products to restaurants, hospitals, schools, and hotels across the country and world. The company acts as the intermediary between food producers and end customers. This industry is very high volume and low margin, meaning that profits are thin, and success depends heavily on scale and efficiency. The market is highly fragmented, with a few large players like Sysco and US Foods alongside thousands of small regional distributors. Demand in this market is tied directly to food consumption; as long as people require food, demand in this industry will remain stable. The foodservice distribution industry is relatively resilient to economic cycles, though it is exposed to factors such as the impact of interest rates on the supply side and dining-in/out trends on the demand side. Growth potential in this industry lies primarily in the ability to expand through mergers and acquisitions and to improve operational efficiency and cost effectiveness. Key risks include fluctuations in food prices, fuel costs, and labor costs.

I.IV Investment Summary

Sysco is a Strong Buy. The company is a dominant and mature foodservice distributor controlling 17% of the U.S. market, generating over \$76 billion in revenue with consistent and strong margins relative to its peers. The acquisition of Jetro Restaurant Depot, Sysco's largest ever, opens an entirely new distribution channel in the \$60 to \$70 billion cash and carry market that the company could not previously access. Using a discounted FCFF model with conservative assumptions, including organic growth in line with management guidance, conservative Jetro revenue projections, and a post-acquisition WACC of 6.19%, the model yields a fair value of \$108.72 per share against a current price of \$73.24, representing approximately 48.4% upside. Even in the downside scenario using a Dividend Discount Model that excludes all acquisition-driven growth, the stock remains fairly priced, affirming Sysco as a defensive, income-generating investment with significant additional upside tied to the Jetro integration.

II. Financial Analysis

The following analysis benchmarks Sysco against three foodservice distribution peers: US Food Holding Corp (USFD), Performance Food Group (PFGC), and United Natural Foods Inc (UNFI). While no perfect

peer comparison exists given Sysco's dominant scale, these companies offer the most comparable business models available.

Table 1 Comparable Company Multiples

Company	EPS P/E	EBITDA EV/EBITDA	EBIT EV/EBIT
Comparable Markets			
US Food Holding Corp (USFD)	30.58	12.44	16.76
Performance Food Group Company (PFGC)	38.19	12.85	24.05
United Natural Food Inc (UNFI)	0.00	9.09	20.67
Mean	22.92	11.46	20.49
Median	30.58	12.44	20.67
Target			
Sysco (SYY)	19.18	10.88	14.30
Sysco Comparable Valuation			
	EV/EBIT	EV/EBITDA	P/E
2025	\$ 3,470.00	\$ 4,560.00	\$ 1,787.20
Implied Enterprise Value	\$ 71,724.90	\$ 56,726.40	
Debt	\$ 14,494.00	\$ 14,494.00	
Cash	\$ 41.00	\$ 41.00	
Implied equity value	\$ 57,271.90	\$ 42,273.40	\$ 54,655.49
Number of shares (million)	480.66	480.66	480.66
Value per share	\$ 119.15	\$ 87.95	\$ 113.71

A comparable or multiple analysis is not a part of the core valuation, but rather it tells a broader story about Sysco's dominance in the food distribution market. The three comparable companies were chosen based on the extent to which their business models and capabilities parallel Sysco's. However, when calculating the mean and median multiples intended to represent the competitive industry, this valuation method is not an accurate measure of Sysco's intrinsic value. The comparable median for P/E is 30.58 while Sysco is 19.18; the comparable median for EV/EBITDA is 12.44 while Sysco is 10.88; and the comparable median for EV/EBIT is 20.67, while Sysco is 14.30. If Sysco were to be valued using the comparable median multiples, the market price of Sysco would appear extremely undervalued. However, this reflects an unrealistic valuation because Sysco has a market capitalization of \$34,080.70 million and revenue of \$76,324.68 million well above the rest of the competitors. This emphasizes Sysco's 17% market share dominance; it is not a true apples-to-apples comparison since the business is significantly larger. The comparable medians are higher because these companies are perceived to have considerably more room for growth. Sysco is better valued on revenue and cash flow generation, while these competitors can be valued based on potential

for growth. Sysco has reached maturity and has limited areas for improvement in growth relative to the smaller market share companies and therefore trades at a lower multiple.

Table 2 Cross-Sectional Ratio Analysis

	Sysco (SYY)	USFD	PFGC	UNFI
Market Data				
Market Cap (M)	\$34,080.70	\$19,828.93	\$13,917.88	\$2,724.12
Revenue (M)	\$76,324.68	\$35,597.00	\$57,254.70	\$30,272.00
Profitability				
P/S	0.45	0.56	0.24	0.09
Gross Margin	18.35	17.41	10.69	12.47
Operating Margin	4.20	3.37	1.36	0.78
Net Margin	2.17	1.71	0.52	(0.27)
Return on Assets	6.85	4.81	1.93	(1.13)
Return on Equity	83.64	15.30	7.75	(5.40)
Return on Invested Capital	11.86	7.02	2.86	11.43
Operating Efficiency				
Days of Sales Outstanding	24.04	20.50	15.24	11.91
Days of Payables Outstanding	31.80	26.15	19.27	24.25
Net Operating Cycle	20.12	13.05	21.39	16.40
Leverage and Coverage				
Total Debt / Total Assets (%)	55.07	39.99	43.32	45.08
(EBITDA Capex) / Interest Expense	6.32	5.88	2.94	2.62
Net Debt / (EBITDA Capex)	3.73	4.11	6.76	8.81

While a multiple analysis is not ideal, a ratio analysis provides a better benchmark against competitors.

P/S: The P/S ratio shows the market price relative to sales. The lower the ratio, the more it indicates there could be undervaluation. This is a useful metric considering food distributors operate on low margins. Sysco is the largest revenue-generating company and has a P/S ratio of 0.45, the second largest among the peer group. The ratio is below 1, which suggests investors may be willing to pay more. The competitors also have ratios below 1, but they are already seen as growth-oriented companies, so a mature and established company like Sysco should receive this metric as a positive signal.

Gross Margin, Operating Margin, and Net Margin: The gross margin of SY Y is 18.35%, which is above the rest, with USFD coming in second at 17.41%. This metric shows how much profit a firm retains after paying the cost of goods sold; SY Y generates \$0.1835 of profit for every \$1 of revenue. Similarly, operating margin shows the profit retained after cost of goods sold and other operating expenses; SY Y has an operating margin of 4.20%, with USFD coming in second at 3.37%. These values indicate that SY Y is able to operate more efficiently. The net margin of 2.17% for SY Y is also the highest among peers, and this below-the-line metric demonstrates the ability for revenue to flow through the entire income statement after all costs, including taxes and interest.

ROA, ROE, and ROIC: Food distribution is a capital-intensive industry, so analyzing whether a company can generate profit per \$1 of asset investment is key to financial stability. SY Y has the highest ROA of 6.85%, while UNFI has a ROA of (1.13)%, which is likely due to the expensive technology investments the company has chosen to undertake and has not yet generated sufficient profit to cover. ROE for SY Y is significantly above its competitors; however, the magnitude is inflated due to high debt levels, which reduce the equity denominator and boost the ratio outcome. Therefore, ROA is a more accurate measure in isolation. ROIC is the most comprehensive measure because it accounts for both debt and equity in relation to NOPAT, and reflects how much profit is generated for every \$1 invested. A company is healthy when ROIC exceeds the cost of capital. SY Y has the highest ROIC of 11.86%, against a projected WACC of 6.19%, serving as a strong efficiency and value indicator.

DSO, DPO, and Net Operating Cycle: For an industry dealing with suppliers and customers, the operating cycle is a critical measure of efficiency and financial health. SY Y has a DSO of 24.04 days and DPO of 31.80 days with a net operating cycle of 20.12 days. It is a positive signal when DPO exceeds DSO, as it indicates the company has greater purchasing power over suppliers and does not need to pay them before customers pay. The DPO to DSO spread of 7.76 days for SY Y compares favorably to USFD at 5.65 days and PFGC at 4.03 days, showing a stronger position. While UNFI has a sizable spread of 12.34 days, its other ratios, including net margin, ROA, and ROE, are all negative, which outweighs the benefit of its operating cycle position.

Leverage and Coverage: SY Y has a greater percentage of debt to assets than its competitors at 55.07%, compared to USFD at 39.99%, PFGC at 43.32%, and UNFI at 45.08%. While higher debt is typically seen as greater risk, SY Y has the financial strength and cash flow stability to service its obligations and still generate excess returns. SY Y's interest coverage ratio of 6.32x is the highest among peers, with USFD in second at 5.88x. The net debt coverage ratio of 3.73 years is also the shortest timeline to repay all debt, compared to USFD at 4.11 years, PFGC at 6.76 years, and UNFI at 8.81 years. As the Jetro acquisition brings additional debt onto the balance sheet, it is important to note that SY Y has the mature cash flows and historical track record to absorb this debt load without significant risk.

III. Valuation

III.I Valuation Methodology and Investment Thesis

The main valuation methodology used to find the intrinsic value of Sysco's equity value per share was a Discounted Free Cash Flow to Firm (FCFF) model, projecting key financial inputs for the five years from 2026 through 2030 and a terminal value, both discounted using the WACC. Sysco is a Dividend King with positive dividend growth for 55 consecutive years, and has also been active and consistent with treasury share buybacks. However, given Sysco's recent acquisition of Jetro and management guidance that dividend growth will be modest over the next few years, and that share buybacks will be paused to address significant acquisition debt, the free cash flow method is the best approach to capture the company's value as a stable business with significant growth driven by the Jetro acquisition.

The core investment thesis is that Sysco is a very stable and consistent company already holding approximately 17% of the U.S. market as a global foodservice distributor. The acquisition of Jetro will allow an already strong company to expand through its largest acquisition ever, gaining access to a completely different customer segment and creating a whole new distribution channel.

III.II The Jetro Acquisition

The Jetro acquisition is considered the key value driver for the company going forward. The full deal price is \$29.1 billion, and the transaction is expected to close in 2027.¹ Jetro Restaurant Depot operates in the cash and carry wholesale foodservice space, a \$60 to \$70 billion market that Sysco could not access before with its delivery-based model. Jetro holds an estimated 23 to 27% share of the cash and carry market.

Jetro operates 166 large-format warehouse stores across 35 states, serving more than 725,000 independent restaurants and foodservice operators. These are customers who prefer to hand-pick their own inventory and avoid delivery fees, largely a segment Sysco could not reach before with its existing business model. Jetro will operate as a standalone segment within Sysco, maintaining its existing operating model and leadership. Sysco and Jetro also plan to open more than 125 new locations over the next two decades.

Because the cash and carry model targets a different customer base than Sysco's traditional delivery service, the acquisition adds to, rather than competes with, Sysco's existing business. The deal is also expected to generate approximately \$250 million in annualized net cost synergies after closing, based on company guidance.² This is Sysco's largest acquisition by a significant margin.

III.III Base Case Scenario Assumptions

Assumption	Value	Basis
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SY Y Organic Sales Growth	4.0% (2026), 4.5% per year (2027 to 2030)	Management guidance of 3 to 5%
Jetro Revenue Forecast	~\$8B (2027), ~\$16B (2028), +4% per year (2029 to 2030)	Deal expected to close Q3 2027. Revenue recognized based on Jetro's 2025 annual revenue of ~\$16B. 4% growth after, per management guidance for the cash and carry channel.
Terminal Cash Flow Growth Rate	1.8%	U.S. GDP growth rate (CBO, 2025 to 2035)
WACC	6.19%	See Section IV. Discount Rate Calculations.
Gross COGS	~82.3%	Historical average over the past five years of actuals.
Net Cost Synergies from Acquisition	\$250M per year beginning 2027	Company guidance from acquisition.
SG&A (excl. depreciation)	13.0%	Historical rates
Depreciation	1.3%	Historical rates
Capex	1.1%	Historical rates
Accounts Receivable	6.8%	Historical rates
Inventory	6.2%	Historical rates
Other Current Assets	0.42%	Historical rates
Accounts Payable	7.96%	Historical rates
Other Current Liabilities	3.0%	Historical rates
Tax Rate	24.0%	Per Sysco annual report

A breakdown of Sysco's organic sales growth and Jetro sales growth was used to forecast total revenue for each year. A percent of sales and percent growth forecasting method was then used to project other relevant income statements and balance sheet items that affect free cash flow. Gross cost of goods sold is estimated as a percent of sales, and estimated synergy savings from the acquisition are added back to reflect the net cost of goods sold going forward from the acquisition.

Analysis of principal product categories (% of sales) and sales type by customer (% of sales) over the past five years shows significant stability with no meaningful growth in any individual segment. This is why organic growth was not forecast based on individual SY Y segments. Instead, SY Y organic sales growth was forecast based on management guidance of approximately 3 to 5%, using 4.0% for 2026 and 4.5% for 2027

through 2030. Management guidance was used as a conservative estimate given Sysco's position already dominating 17% of the market, which does not suggest significant organic growth outside of acquisitions.

Figure 1 Sysco Corporation: Sales by Type of Customer (% of Sales)

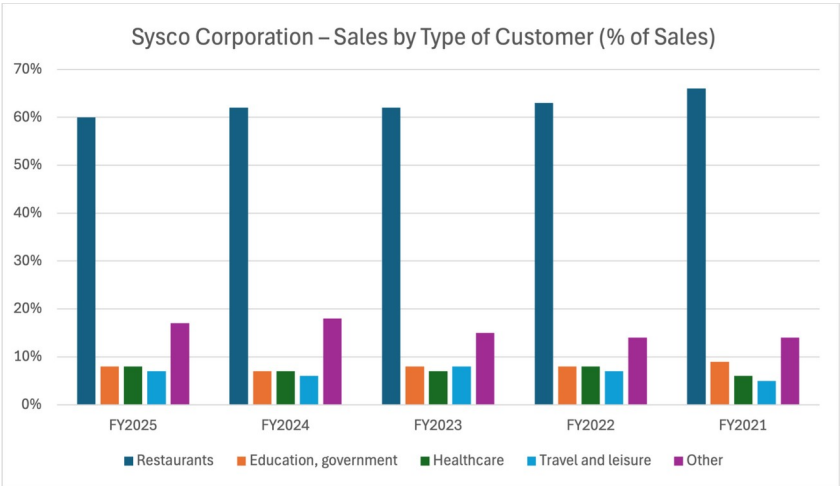
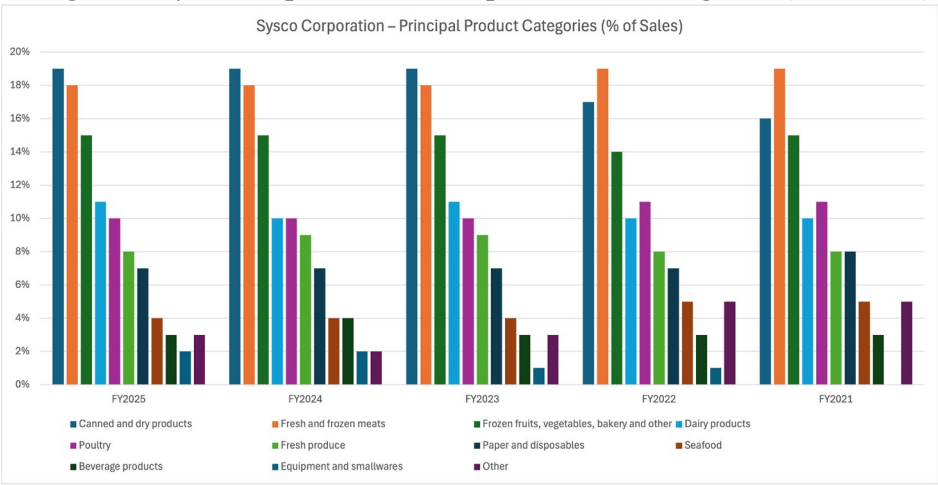


Figure 2 Sysco Corporation: Principal Product Categories (% of Sales)



For the Jetro revenue forecast, the deal is expected to close by Q3 2027, so approximately half of Jetro's expected annual revenue (~\$8 billion) is recognized in 2027. 2028 is the first full year of full Jetro revenue consolidation (~\$16 billion). Revenue is then grown at 4% per year for 2029 and 2030, based on management guidance for the cash and carry channel. The terminal value perpetuity method uses a terminal growth rate of 1.8%, based on the CBO's Budget and Economic Outlook: 2025 to 2035 U.S. GDP growth rate.³ Even if SYY grows stably at the minimum of the U.S. GDP growth rate in perpetuity, the model still shows significant upside.

Table 3 Base Case Valuation Output

	Perpetuity Growth Method	Exit EV/EBITDA Multiple
Intrinsic Price Per Share	\$108.72	\$96.48
Upside vs. Current Price (\$73.24)	+48.4%	+31.7%
Recommendation	Strong Buy	Strong Buy

Using a WACC of 6.19% and a terminal growth rate of 1.8%, the sum of discounted free cash flows and terminal value yields an enterprise value of approximately \$65.5 billion. After adjusting for net debt and dividing by 478.18 million shares outstanding, the model produces a fair value per share of \$108.72 under the perpetuity growth method and \$96.48 under the exit EV/EBITDA multiple method. The SYY company multiple of 10.88 was used for the exit multiple because no pure comparable companies exist. Both methods arrive at the same conclusion: at a current price of \$73.24, SYY represents a Strong Buy with approximately 48.4% upside.

III.IV Upside Scenario

The FCFE base case is built on very modest assumptions, so any higher growth rate represents the bull case. The WACC sensitivity analysis table (Table 4) shows that even with very low growth rates and high costs of capital, this investment still demonstrates significant upside and mostly positive returns.

Additionally, much of the growth attributed to the Jetro acquisition is based on very conservative estimates. Management has guided to opening 5 to 6 new stores each year, which would mean revenue growth beyond the \$16 billion modeled. Sysco also plans to open 125 or more new locations over the next two decades.⁴ None of this significant growth upside is accounted for in the model, which creates meaningful additional upside beyond what is shown in the base case.

Table 4 WACC Sensitivity Analysis: Implied Fair Value Per Share

WACC / Growth Rate	1.0%	1.5%	2.0%	2.5%	3.0%
5.5%	109.12	124.56	144.41	170.87	207.92
6.0%	94.51	106.63	121.78	141.25	167.22
6.5%	82.58	92.31	104.20	119.06	138.17
7.0%	72.64	80.60	90.15	101.82	116.41
7.5%	64.25	70.86	78.67	88.04	99.49
8.0%	57.07	62.63	69.11	76.78	85.98

III.V Downside Scenario: Dividend Discount Model

The basic Dividend Discount Model (DDM) is not the primary model but serves an important purpose: it demonstrates that even if there is no major upside from the acquisition, this remains a stable and low-risk investment. This worst-case scenario shows that even without acquisition-driven growth and with only modest dividend growth, investors would not be materially overpaying for the stock.

This model does not capture any of the upside from the projected Jetro acquisition growth. It is calculated using the cost of equity after Sysco has taken on significant acquisition debt, making it a very conservative estimate for a scenario where there is no significant growth, or something with the acquisition goes wrong. Investors can still be confident in Sysco's underlying stability and the investment overall.

Management is pausing share buybacks for the next few years to pay off debt. However, the company has its 55-year consecutive dividend growth streak, which management has stated will not stop, though growth is expected to be more modest. It is important to note that this model does not include the value of future share buybacks. Management has stated their intent to eventually resume buybacks, which would return additional capital to shareholders not captured in this model.

This model estimates a fair price of approximately \$68.91 versus the current price of \$73.24. Looking at the 5-day trading range, the stock has moved from a high of approximately \$75.50 to a low of approximately \$71.50. The volatility in that period has been approximately \$5, which shows that a \$5 difference between the model's fair value estimate and the current price is simply a matter of market timing and price volatility. The DDM confirms that even if investors purchased SYY today, the stock would be relatively fairly priced even in the worst-case scenario with no growth from the acquisition. This would still be a safe investment, as SYY pays consistent dividends.

IV. Discount Rate Calculations

An overall weighted average cost of capital (WACC) that incorporates the capital structure as well as cost of common equity and debt was estimated for Sysco Corporation in the context of its proposed \$29 billion acquisition of Jetro Restaurant Depot. Given that Sysco plans to finance approximately \$22 billion of this acquisition with new debt, the capital structure will shift significantly, and this analysis reflects those post-acquisition implications.

IV.I Cost of Equity

The cost of equity was calculated using the Capital Asset Pricing Model (CAPM): $Re = Rf + B(Rm - Rf)$. The values for the variables in the model are summarized below.

Table 5 Cost of Equity Inputs

Variable	Value	Calculation
Risk-Free Rate	4.00%	10-year U.S. Treasury yield used as the annualized risk-free rate.

Beta	Levered Beta: 0.73 Unlevered Beta: 0.55	Sysco's unlevered beta of 0.55 reflects the 90-day unlevered beta sourced from FactSet. The \$22B debt issuance shifts the capital structure to approximately 50/50, requiring a re-levered beta. The Hamada Equation was applied: $BL = BU \times (1 + (1 - T) \times D/E)$, yielding a levered beta of 0.73 using a 24% tax rate.
Market Risk Premium	5.0%	Historical average equity risk premium for the S&P 500.
Cost of Equity	7.651%	$Re = 4.00\% + 0.73 \times 5.0\% = 7.651\%$

IV.II Cost of Debt

Sysco carries significant long-term debt through its outstanding bond portfolio. The company holds an investment-grade credit rating (BBB) and plans to issue approximately \$22 billion in new debt to finance the Jetro Restaurant Depot acquisition. There are two key considerations in estimating the cost of debt:

- ◆ **Bond YTM-Based Cost of Debt:** The weighted average yield to maturity (YTM) across all of Sysco's outstanding bonds was calculated using data sourced from Yahoo Finance. Current debt outstanding stands at \$36,970 million.
- ◆ **Acquisition Premium Adjustment:** A 1% credit spread premium was added to the average YTM to reflect the anticipated issuance of \$22 billion in new debt. With Sysco's rating sitting between Baa1 and BBB following the acquisition, a 1% spread over Treasuries is supported by market data, as January 2026 default spread table places BBB-rated firms at 1.11%. This premium captures both the sheer volume of new debt and the elevated risk profile Sysco assumes through a leveraged acquisition of this scale.

The pre-tax cost of debt was determined to be 6.4%. Applying the after-tax adjustment using Sysco's marginal tax rate of 24%:

$$kd \times (1 - t) = 6.4\% \times (1 - 0.24) = 4.86\%$$

IV.III Capital Structure

Market value was employed for equity, derived from Sysco's current stock price of \$71 and 478 million shares outstanding, yielding a market capitalization of approximately \$33.96 billion. Total debt, including current debt of \$36,970 million plus the planned \$22 billion acquisition financing, results in a significantly expanded debt base. After accounting for the new acquisition debt, the capital structure shifts from a historical ~30% debt / 70% equity split to approximately:

$$We = 47.9\% \quad Wd = 52.1\%$$

This re-weighting drove the decision to use the levered beta of 0.73 rather than the unlevered beta of 0.55, as it appropriately captures the increased financial risk to equity holders under the new capital structure.

IV.IV WACC

$$WACC = W_e \times k_e + W_d \times k_d(1-t)$$

$$WACC = (0.479 \times 7.651\%) + (0.521 \times 4.86\%) = 6.19\%$$

The resulting WACC of 6.19% reflects the post-acquisition capital structure, incorporating the elevated cost of debt from the \$22 billion issuance and the higher levered beta driven by the shift to a near-equal debt-equity mix. This WACC serves as the discount rate for the Jetro Restaurant Depot acquisition model.

Table 6 WACC Key Assumptions Summary

Assumption	Value	Notes
Marginal Tax Rate	24.0%	Federal and state blended rate
Risk-Free Rate	4.00%	10-year U.S. Treasury yield
Unlevered Beta	0.55	90-day unlevered beta sourced from FactSet
Levered Beta (used)	0.73	Post-acquisition capital structure (~50/50); Hamada Equation applied
Market Risk Premium	5.0%	Historical S&P 500 average
Pre-Tax Cost of Debt	6.4%	Avg. YTM of outstanding bonds + 1% issuance premium
Current Debt Outstanding	\$36,970M	Source: Yahoo Finance
Stock Price	\$71	Market price at time of analysis
Shares Outstanding	478M	Source: Yahoo Finance
Equity Weight (We)	47.9%	Post-acquisition market cap / total capital
Debt Weight (Wd)	52.1%	Post-acquisition debt / total capital

V. Investment Recommendation

V.I Overall Recommendation

The overall investment recommendation is a **Strong Buy** based on the free cash flow model, which demonstrates significant upside and growth potential from the Jetro acquisition. SYR overall is a very stable

company with a significant and dominant market position. Food distribution as a whole is a very large and stable industry because no matter the economic environment, people will continue to need food. This is an investment in a historically stable and strong company that is now showcasing an opportunity for growth based on its largest acquisition ever, broadening its reach into a new distribution channel.

SYN is a company with strong free cash flow in a defensive industry. The FCFF base case yields a fair value of \$108.72 per share against a current price of \$73.24, representing approximately 48.4% upside. Even the basic Dividend Discount Model as the worst case shows this is a safe investment, demonstrating that there is mostly only upside for investors without significant long-run risk.

The key risks to this thesis are: (1) execution risk on integrating Sysco's largest ever acquisition; (2) leverage risk given the significant debt taken on to finance the deal; and (3) regulatory risk given the scale of the transaction. These risks are accounted for in the model through conservative revenue assumptions, the use of a post-acquisition levered beta and higher cost of equity in the DDM bear case, and the range of outcomes presented in the WACC sensitivity table.

V.II Trading Analysis

With the announcement of the Jetro acquisition, investors responded hesitantly and Sysco's stock dropped 15% intraday. However, a number of analysts remain optimistic about the deal. Jetro will expand Sysco's customer base to smaller independent restaurants and is expected to deliver close to \$250 million in cost synergies. The stock decline is likely attributable to the \$22 billion in debt that will be added to Sysco's balance sheet to finance the deal. In an industry of already thin margins, investors perceive this as a potential risk, but Morningstar has characterized the market reaction as an overreaction.⁵

It will be important to monitor Sysco's upcoming Q3 earnings report on April 28th to examine the direction and health of the company and where growth can be concentrated. The stock has moved within a 5-day range of approximately \$71.50 to \$75.50, and no alarming patterns in short interest have been identified at this time. The company is a member of the S&P 500, providing broad institutional support for the stock. Insider and institutional holdings have remained relatively stable surrounding the acquisition announcement, reinforcing confidence in management's execution strategy.

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- 7 Finance Charts. Sysco Dividends. <https://www.financecharts.com/stocks/SYY/dividends>
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AI Use Summary

- Research assistance including gathering company details, learning about the Jetro acquisition, and determining the most appropriate analytical approaches given Sysco's current conditions
- Understanding financial terminology and the income statement and balance sheet components that factor into ratio calculations
- Formatting assistance to produce a professional and consistent written report aligned with our excel
- Help of AI to update numbers on report when updating model on excel for consistency